

Japan Autos & Auto Parts

Japan Autos Monthly Sales Tracker: May-2026 Japan & US sales - New models and HEVs remain key to sales in both regions



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May-2026 Japan sales +2.8% YoY: May-2026 Japan retail sales totaled 333 thousand units, up 2.8% YoY, marking two consecutive months of YoY increase. By segment, registered vehicles totaled 215 thousand units in May, up 5.6% YoY, while Kei-cars reached 89 thousand units, down 2.1% YoY, likely reflecting stronger demand for registered vehicles, which benefited more from the tax changes. Among Japanese automakers, Toyota performed strongly, with sales up 8.3% YoY, driven by the launch of face-lifted popular minivans Noah and Voxy, and the Land Cruiser FJ. Honda also recorded +4% YoY growth, supported by contributions from the new BEV Super-ONE and the CR-V HEV launched in Feb. In contrast, Nissan declined 6% YoY, with registered vehicle sales down 16% YoY, turning negative in May. Subaru and Mazda declined by 2% and 4% YoY, respectively, while Mazda launched the new CX-5 on May 21. Supported by reductions in acquisition and fuel taxes, we forecast a slight increase in demand of 2% YoY for CY 2026.

May-2026 US sales +0.4% YoY: May 2026 US retail sales reached 1,480 thousand units, up 0.4% YoY, remaining relatively resilient despite ongoing geopolitical uncertainty in the Middle East. SAAR improved to 16.2 mn units from 16.1 mn units in April and 15.7 mn units in May-2025. Demand for fuel efficient vehicles remained strong amid elevated gas prices, where HEV sales increased to 256 thousand units (+33% YoY). Among Japanese automakers, Toyota reported 239 thousand units (-0.6% YoY), broadly flat, supported by HEV models including Camry and new RAV4. Honda recorded 149 thousand units (+10% YoY), driven by record HEV sales, led by CR-V. Nissan posted 85 thousand units (+11% YoY), supported by US-produced models such as Rogue/Pathfinder/Frontier. Mazda reported 39 thousand units (+35% YoY), driven by affordable Mazda3 and CX-50 HEV, although CX-5 declined by 18% YoY. Subaru recorded 58 thousand units (+10% YoY), supported by HEV models (Forrester/Crosstrek) and new BEVs (Uncharted/Trailseeker). For incentives, the industry average increased to USD 3,450 (+2% QoQ). Toyota/Honda, supported by strong HEV lineups, kept incentives low at USD 1,843/2,747 (-1%/-5% QoQ). In contrast, Mazda (USD 3,535, +6% QoQ) increased incentives. Days supply declined to 47 days, with Toyota at a low 21 days.

New models and HEV rollout remain key: In Japan, recent tax changes have supported sales, benefiting Toyota and Honda, while Nissan continues to lag. The success of the new Elgrand, scheduled for launch in July, will be critical for a meaningful turnaround in its restructuring. In the US, despite ongoing macro uncertainty related to Middle East tensions, overall demand remains resilient. Demand for affordable vehicles and strong HEV demand, supported by elevated gas prices, continue to shape the market. Toyota and Honda are well positioned to capture this trend, with the new RAV4 expected to fully ramp up during the coming months, in contrast to Honda's aging CR-V. Nissan has seen solid US performance supported by US-produced models, but with Rogue e-Power not expected until 2026 H2, its ability to fully capture current HEV demand remains uncertain. Mazda returned to positive YoY growth in May, but with limited HEV offerings and rising incentives, the ramp up of the new CX-5 sales will be key. Subaru benefited from the restart of the Yajima plant and strong HEV demand, but higher BEV sales likely continue to pressure margins, and the performance of the new Outback remain as a key focus.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	3 Jun 2026	Price	TTM	Reported EPS				Reported P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
7203.JP (Toyota)	O	JPY	2,881.00	4,200.00	(36.7)%	JPY	295.25	308.93	367.29	9.8	9.3	7.8
7269.JP (Suzuki)	O	JPY	1,890.50	2,550.00	(35.6)%	JPY	227.69	234.71	255.99	8.3	8.1	7.4
7267.JP (Honda)	M	JPY	1,496.50	1,300.00	(39.2)%	JPY	(106.06)	161.84	147.24	(14.1)	9.2	10.2
OLD				1,400.00				163.70	172.25			
7201.JP (Nissan)	U	JPY	357.50	350.00	(47.0)%	JPY	(152.58)	4.78	53.06	(2.3)	74.7	6.7
7270.JP (Subaru)	U	JPY	2,471.00	2,350.00	(51.0)%	JPY	125.50	222.96	249.75	19.7	11.1	9.9
7261.JP (Mazda)	U	JPY	1,122.00	1,000.00	(16.1)%	JPY	55.64	116.61	142.17	20.2	9.6	7.9
JPL			2,575.72									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate **Toyota Outperform** with an updated price target of **JPY 4,200.00**.

We rate **Suzuki Outperform** with a price target of **JPY 2,550.00**.

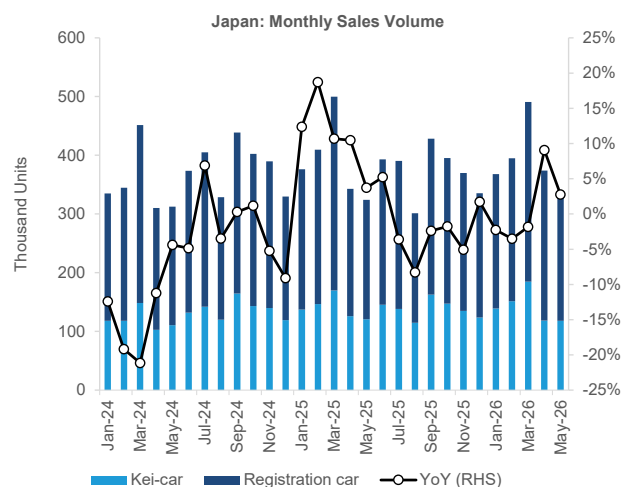
We rate **Honda Market-Perform** with a price target of **JPY 1,300.00**. We have revised our FY3/27 OP forecast to JPY 834 bn (from JPY 852 bn), reflecting FY3/26 results. We now set an updated price target of JPY **1,300.00** (from JPY 1,400), based on the revision and a target PBR of 0.36x (from 0.44x PBR) to reflect lower market valuation.

We rate **Nissan Underperform** with a price target of **JPY 350.00**.

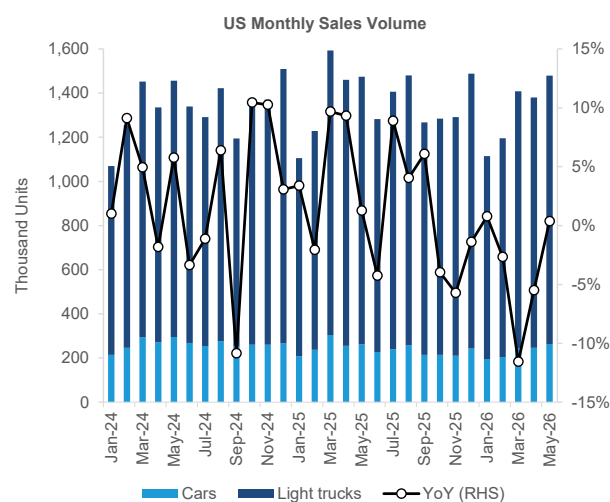
We rate **Subaru Underperform** with an price target of **JPY 2,350.00**.

We rate **Mazda Underperform** with a price target of **JPY 1,000.00**.

DETAILS

EXHIBIT 1: **May-26 Japan sales totaled 333 thousand units, up 2.8% YoY**

Source: JADA, Zenkeijikyo, Bernstein analysis

EXHIBIT 3: **May-26 US sales totaled 1,480 thousand units, up 0.4% YoY**

Source: Autodata, Bernstein analysis

EXHIBIT 2: **Summary: Japan sales volumes by automaker (May-26)**

Automaker	Japan			
	May-26	YoY	2026 YTD	YoY
Nissan	25,969	-6.4%	179,960	-3.0%
Toyota	156,561	8.3%	891,022	4.4%
MMC	8,127	-5.0%	55,193	10.6%
Mazda	8,979	-9.4%	62,790	-10.1%
Honda	43,091	4.3%	262,700	-2.9%
Suzuki	54,441	-1.9%	308,426	-2.1%
Subaru	7,280	-3.9%	42,087	-10.6%
Total	332,997	2.8%	1,960,306	0.4%

Note: MMC not covered

Source: JADA, Zenkeijikyo, Bernstein analysis

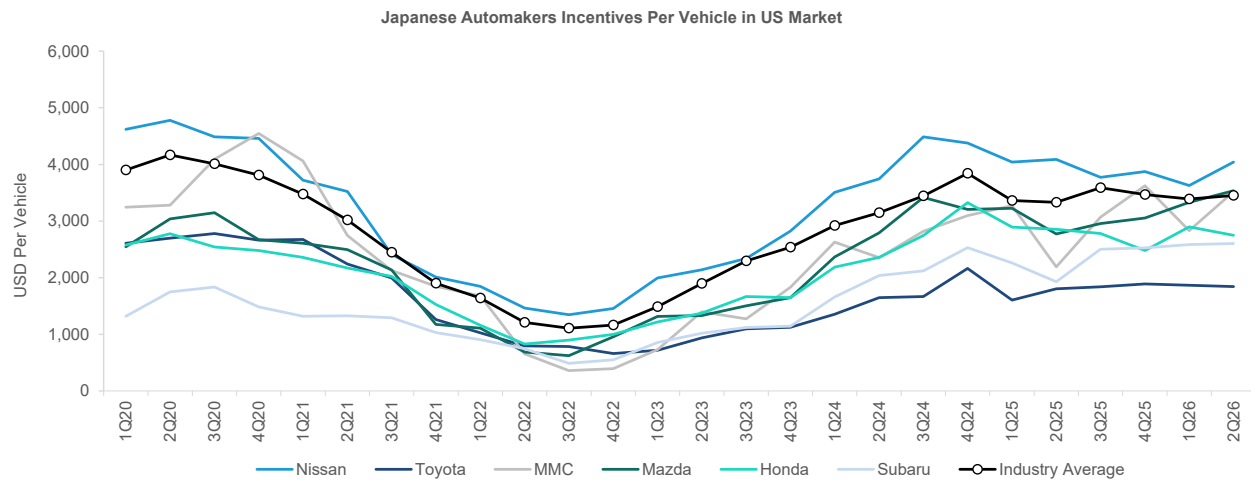
EXHIBIT 4: **Summary: US sales volumes by automaker (May-26)**

Automaker	US			
	May-26	YoY	2026 YTD	YoY
Nissan	85,407	11.0%	412,094	-1.1%
Toyota	238,800	-0.6%	1,030,598	-1.2%
MMC	6,466	-29.7%	38,097	-15.9%
Mazda	39,066	35.0%	164,666	-6.9%
Honda	148,903	9.9%	623,138	-0.2%
Subaru	57,748	10.4%	252,425	-8.3%
GM	246,207	-4.5%	1,104,556	-9.0%
Ford	189,645	-13.7%	822,263	-11.2%
Stellantis	111,612	5.8%	523,585	4.0%
Tesla	40,578	-16.9%	197,783	-10.7%
Hyundai & Kia	174,860	2.7%	764,796	1.6%
Total	1,479,626	0.4%	6,578,413	-4.1%

Note: GM, Ford, Tesla, Hyundai and Kia not covered; Stellantis covered by Stephen Reitman

Source: Autodata, Bernstein analysis

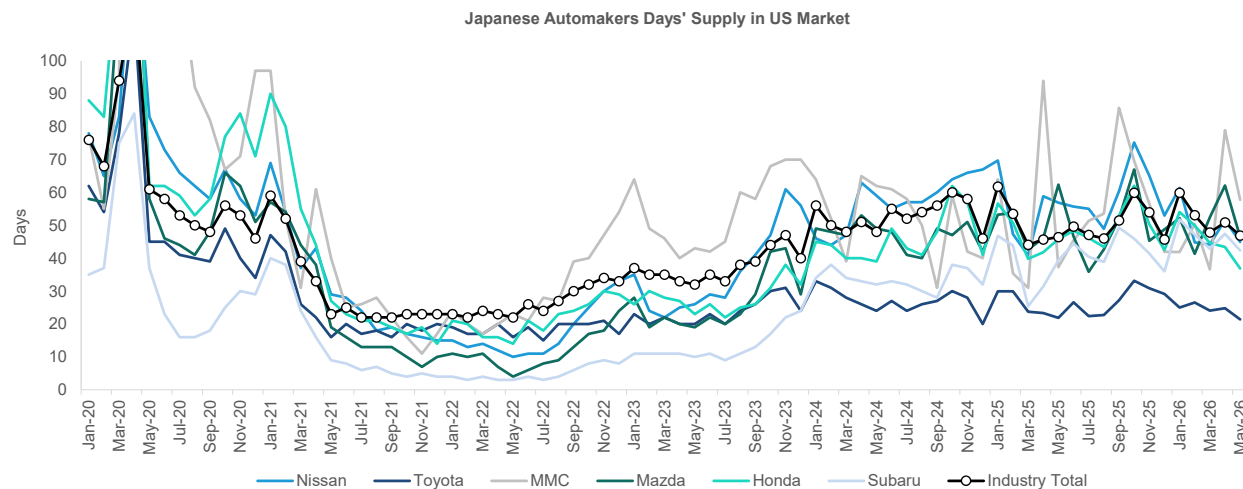
EXHIBIT 5: US incentive trend; Toyota kept incentives low at USD 1,843 (-1% QoQ) while the industry at USD 3,450 (+2% QoQ)



Note: MMC not covered; 2Q26 representing average of Apr-26 and May-26

Source: Autodata, Bernstein analysis

EXHIBIT 6: US days supply; Toyota stood out with a low 21 days supply, while the industry at 47 days



Note: MMC not covered

Source: Autodata, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 7: Honda: Income Statement

Honda: Income Statement						
(JPY bn)	FY3/26	FY3/27E	FY3/28E	FY3/29E	FY3/30E	FY3/31E
Revenue	21,797	22,584	23,191	23,634	23,988	24,258
% Growth	0.5%	3.6%	2.7%	1.9%	1.5%	1.1%
COGS	18,193	17,814	18,744	19,242	19,794	20,274
Gross Profit	3,603	4,771	4,447	4,392	4,194	3,984
% Margin	16.5%	21.1%	19.2%	18.6%	17.5%	16.4%
SG&A	-2,477	-2,391	-2,223	-1,994	-1,773	-1,541
R&D	-1,541	-1,545	-1,461	-1,435	-1,418	-1,406
Operating Profit	-414	834	762	964	1,003	1,038
% Margin	-1.9%	3.7%	3.3%	4.1%	4.2%	4.3%
D&A	1,303	1,281	1,591	1,876	2,142	2,383
EBITDA	889	2,115	2,354	2,839	3,145	3,421
% Margin	4.1%	9.4%	10.1%	12.0%	13.1%	14.1%
Non-operating income / (expense)	-1,292	-1,182	-1,498	-1,788	-2,058	-2,303
Profit before tax	-403	933	856	1,052	1,087	1,118
Income tax expense	-50	261	239	294	304	313
Net income before minority interest	-353	672	616	758	783	806
Net Income	-424	647	589	693	721	736
% Margin	-1.9%	2.9%	2.5%	2.9%	3.0%	3.0%
EPS - diluted (JPY)	-106	162	147	173	180	184
% Growth	-159.3%	N/A	-9.0%	17.8%	4.0%	2.0%
BPS (JPY)	3,036	3,317	3,664	3,988	4,145	4,310
% Growth	7.1%	9.3%	10.5%	8.8%	3.9%	4.0%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 8: Honda: Cash Flow Statement

Honda: Cash Flow Statement						
(JPY bn)	FY3/26	FY3/27E	FY3/28E	FY3/29E	FY3/30E	FY3/31E
Profit before tax	-403	933	856	1,052	1,087	1,118
D&A	1,303	1,281	1,591	1,876	2,142	2,383
Changes in working capital	-127	190	-90	-374	197	77
Taxes and other adjustments	362	-773	-386	-859	-1,772	-1,898
Cash Flow from Operations	1,135	1,631	1,971	1,694	1,654	1,681
Capex	-898	-1,304	-1,328	-1,352	-1,366	-1,376
Other	45	2	-4	-10	2	-1
Cash Flow from Investments	-852	-1,302	-1,332	-1,362	-1,364	-1,377
Cash Flow from Financing	-37	73	454	729	69	187
Effect of exchange rate changes	344	2	0	0	0	0
Net Change in Cash	590	404	1,092	1,062	360	492

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 9: **Honda: Balance Sheet****Honda: Balance Sheet**

(JPY bn)	FY3/26	FY3/27E	FY3/28E	FY3/29E	FY3/30E	FY3/31E
Cash and cash equivalents	5,067	5,523	6,615	7,677	8,037	8,529
Trade receivables	1,270	1,262	1,279	1,320	1,311	1,315
Receivables from financial services	3,057	2,994	3,011	3,110	3,045	3,013
Inventories	2,531	2,513	2,548	2,629	2,612	2,620
Other current assets	1,149	1,141	1,156	1,193	1,186	1,189
Total Current Assets	13,075	13,433	14,609	15,928	16,189	16,666
Property, plant and equipment, net	3,196	4,064	4,861	5,604	6,280	6,892
Intangible assets	785	785	785	785	785	785
Investments and other assets	16,453	16,355	16,458	16,754	16,676	16,655
Total Assets	33,509	34,636	36,712	39,071	39,930	40,998
Trade payables	1,782	1,769	1,793	1,850	1,838	1,844
Accrued expenses	997	990	1,003	1,035	1,028	1,032
ST debt	997	4,909	4,976	5,134	5,101	5,117
Other current assets	6,430	2,252	2,279	2,346	2,330	2,341
Total Current Liabilities	10,204	9,920	10,050	10,366	10,298	10,334
LT debt	8,475	8,934	9,672	10,593	11,047	11,576
Others liabilities	2,682	2,682	2,682	2,682	2,682	2,682
Total Liabilities	21,361	21,535	22,404	23,641	24,026	24,591
Shareholders' equity	11,818	12,911	14,261	15,523	16,135	16,775
Others	331	190	47	-93	-231	-368
Total Equity	12,148	13,101	14,308	15,430	15,904	16,407
Total Liabilities & Equity	33,509	34,636	36,712	39,071	39,930	40,998

Source: Company reports, Bernstein analysis and estimates

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Toyota Motor Corporation**

We set a price target of JPY 4,200 using reset PBR (P/B multiple) of 1.26x against our FY3/28 BPS estimate of JPY 3,357.

Suzuki Motor Corporation

We set price target of JPY 2,550 using SOTP valuation. Per business segment, EV/EBITDA 13.8x applied to FY3/28 EBITDA estimates of JPY 447 bn for India business, EV/EBITDA 3.1x applied to FY3/28 EBITDA estimates of JPY 566 bn for non-India business.

Honda Motor Co Ltd

We set price target of JPY 1,300 using PBR (P/B multiple) of 0.36x against our FY3/28 BPS estimate of JPY 3,664.

Nissan Motor Co Ltd

We set price target of JPY 350 using PBR (P/B multiple) of 0.24x against our FY3/28 BPS estimate of JPY 1,479.

Subaru Corporation

We set price target of JPY 2,350 using PBR (P/B multiple) of 0.56x against our FY3/28 BPS estimate of JPY 4,251.

Mazda Motor Corporation

We set price target of JPY 1,000 using PBR (P/B multiple) of 0.39x against our FY3/28 BPS estimate of JPY 2,489.

RISKS**Toyota Motor Corporation**

Key downside risks would be 1) increase in US import tariffs, 2) slowdown in HEV demand, 3) delay of domestic production recovery.

Suzuki Motor Corporation

Key downside risks to our Suzuki price target would be 1) weaker-than-expected demand in India, 2) delay of new model launches in India, 3) delay in further tightening relationship with Toyota.

Honda Motor Co Ltd

Key upside risks to our Honda price target would be 1) announcement of further collaboration/consolidation with Sony, 2) reduction of future investment plans, 3) announcement of additional share buybacks. Key downside risks would be 1) increase in

US import tariffs, 2) announcement of merger with Nissan, 3) decline in motorcycle sales and profits.

Nissan Motor Co Ltd

Key upside risks to our Nissan price target would be 1) announcement of merger with external partners, 2) earlier-than-expected achievement of turnaround plans, 3) deeper collaboration with Honda.

Subaru Corporation

Key upside risks to our Subaru price target would be 1) JPY depreciation, 2) an earlier-than-expected ramp up at plants that resumed production, 3) announcement of further collaboration/consolidation with Toyota.

Mazda Motor Corporation

Key upside risks to our Mazda price target would be 1) cancellation of additional US import tariffs, 2) JPY depreciation, 3) decrease in US incentives, 4) announcement of further collaboration/consolidation with Toyota.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

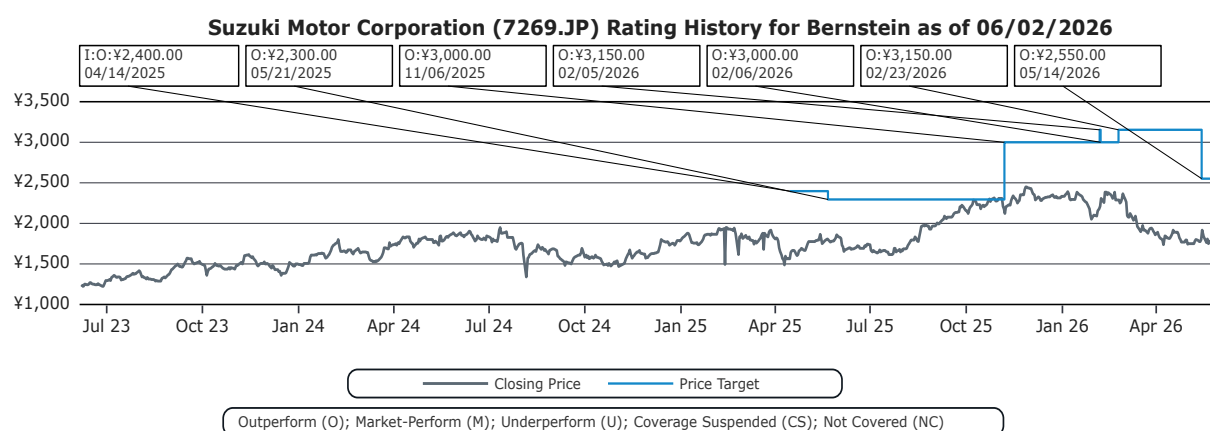
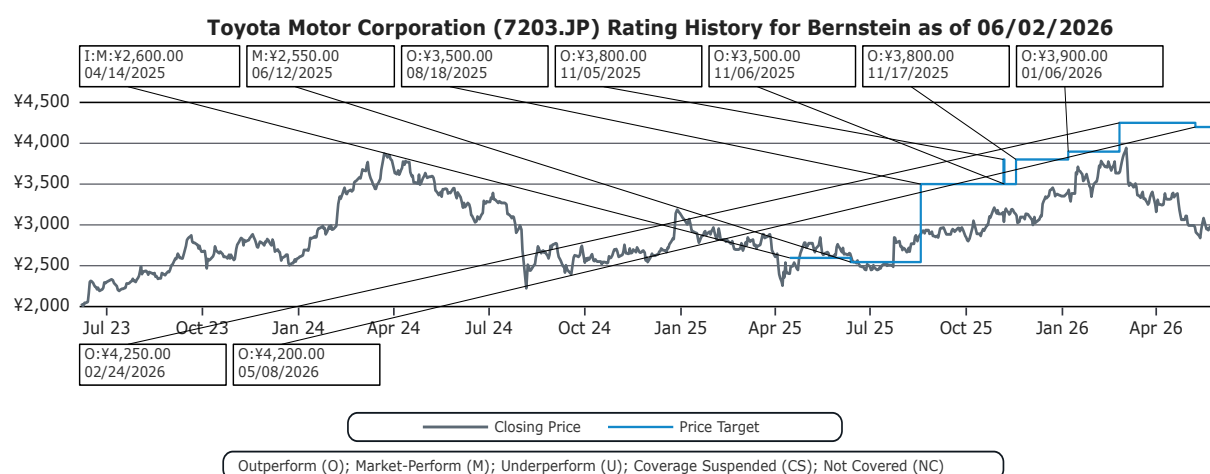
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.1%	16.5%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

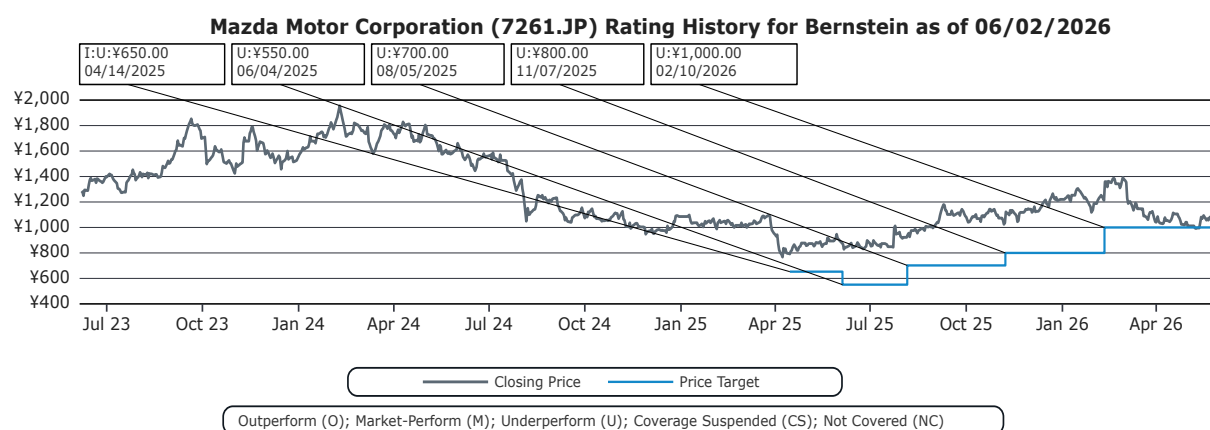
* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of March 31, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



Honda Motor Co Ltd (7267.JP) Rating History for Bernstein as of 06/02/2026**Nissan Motor Co Ltd (7201.JP) Rating History for Bernstein as of 06/02/2026****Subaru Corporation (7270.JP) Rating History for Bernstein as of 06/02/2026**



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

Bernstein and/or affiliates have received compensation for investment banking services in the past twelve months from Toyota Motor Corporation and Nissan Motor Co Ltd.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Toyota Motor Corporation, Suzuki Motor Corporation, Honda Motor Co Ltd and Mazda Motor Corporation.

Bernstein and/or affiliates expect to receive or intend to seek compensation for investment banking services in the next three months from Toyota Motor Corporation and Nissan Motor Co Ltd.

Bernstein and/or affiliates had an investment banking client relationship during the past twelve months with Toyota Motor Corporation and Nissan Motor Co Ltd.

Affiliates of Bernstein managed or co-managed in the past twelve months a public offering of securities of Toyota Motor Corporation and Nissan Motor Co Ltd.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Toyota Motor Corporation and Honda Motor Co Ltd.

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- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
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- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

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